

SEDEMAC MECHATRONICS LTD

NSE: SEDEMAC | BSE: 544723 | Auto Components — Automotive ECU & Power Electronics

ACCUMULATE

Rating

12M TARGET

Rs. 3,300

+16.2% upside

Entry: Rs. 2,500 - 2,700

MARKET DATA		RETURN METRICS	
CMP (Rs.)	2,840	ROCE	35.7%
Market Cap (Rs. Cr)	12,545	ROE	27.5%
52W High (Rs.)	2,978	P/E (TTM)	105x
52W Low (Rs.)	1,413	P/B	27.8x
Book Value (Rs.)	102	EV/EBITDA (FY26)	~58x
Face Value (Rs.)	10	Dividend Yield	0.00%
Shares (Cr)	4.42	Revenue CAGR (3Y)	36%

Investment Thesis: India's dominant sensorless ISG-ECU Tier-1, riding the mandatory fuel-injection wave across 2/3W OEMs while seeding EV and commercial-vehicle adjacencies with physics-based proprietary algorithms — a technology moat virtually absent among Indian auto ancillaries.

SHAREHOLDING PATTERN (Jun 2026)		QUARTERLY SNAPSHOT	
Promoters	26.23%	Q1 FY27 Revenue (Rs. Cr)	309.77
DII's	39.81%	Q1 FY27 PAT (Rs. Cr)	33.31
FII's	4.27%	Q1 FY27 EPS (Rs.)	7.54
Public	29.70%	Q1 FY27 YoY Rev Growth	+43%
Promoter Pledge	Nil	Q1 FY27 YoY PAT Growth	+96%

Report Date: August 5, 2026 | Data Source: Screener.in | Analyst: Research Desk — The Chartist

Disclaimer: This report is for informational purposes only and does not constitute investment advice. Past performance is not indicative of future results.

SECTION 2 — INVESTMENT THESIS

• **Reason 1 — Mandatory Emission Compliance Creates Multi-Year Platform Lock-in:** India's 2020 fuel-injection mandate (BS-VI) compelled every 2/3W OEM to embed Electronic Control Units into their platforms. SEDEMAC won ISG ECU sockets across top-4 OEMs because its sensorless algorithm (no redundant sensors needed) delivers superior cost-per-unit vs Bosch/Astemo; this is not a component-level win but a platform-level embed, making displacement nearly impossible mid-lifecycle. With 8.4 million ISG-equipped 2/3Ws already on Indian roads (up from 5.1M in FY23) and the industry yet to fully penetrate the 20M+ annual market, the run-rate opportunity is Rs. 2,000–3,000 Cr by FY29.

• **Reason 2 — Operating Leverage at Scale Transforming the P&L,:** Revenue doubled from Rs. 531 Cr (FY24) to Rs. 1,058 Cr (FY26) in 24 months while EBITDA margins expanded from 15% to 20% — a 500 bps expansion driven by the proprietary IP covering incremental revenue at near-zero marginal R&D; cost. PAT jumped 17x from FY24 to FY26 (Rs. 6 Cr to Rs. 104 Cr). With MF3 (120,000 sq ft) coming online in Q2 FY27 expanding capacity by 3.7x, the operating leverage story has meaningful runway through FY28.

• **Reason 3 — EV Transition Underway with Early Data Proving Relevance:** EV revenue within the 2/3W segment grew from 0.3% of revenue in FY24 to 7.4% in FY26 — a 25x jump in two years. SEDEMAC's E2W Motor Control Units (SoP Q3

FY26) and export 3W ISG ECUs (SoP Q4 FY26) represent the early-stage EV pivot. With India's EV adoption accelerating and OEMs committed to electrification roadmaps, SEDEMAC is positioning as a native EV electronics partner rather than a carbureted-to-FI transitional player. This significantly de-risks the long-term thesis beyond the BS-VI transition.

- **Near-Term Catalyst (6–12 months):** ISG ECU launch on variants of 3 popular (top-10) motorcycle models across 3 of the top-4 OEMs in FY27 — two already in production in Q1 FY27, third expected in Q4 FY27. Simultaneously, MF3 commissioning (Q2 FY27) removes capacity as a revenue constraint. If both timelines hold, FY27 revenue of Rs. 1,350–1,400 Cr is achievable, implying 28–32% YoY growth.

- **Biggest Structural Risk:** Customer concentration — TVS Motor at 80.46% of FY25 revenue (improving to ~49% for top customer by FY26 per management disclosure) — means a single volume disruption from a key OEM would materially impair near-term earnings. This risk will take 3–4 more years of diversification to reduce to a manageable level.

SECTION 3 — BUSINESS OVERVIEW

- **Core Business:** SEDEMAC Mechatronics (est. 2007, IIT Bombay spinout) is India's leading Tier-1 supplier of control-intensive Electronic Control Units (ECUs) for two/three-wheelers, gensets, and emerging commercial vehicles. The company's proprietary "sensorless" ISG algorithms — derived from combustion physics — extract engine load estimates from crank signals alone, eliminating the sensor redundancy required by global competitors like Bosch and Astemo, and delivering a meaningfully lower bill-of-materials to OEM customers.

- **Revenue Segmentation:** Mobility segment (2/3W ISG ECUs, EV MCUs) = 85.69% of FY25 revenue, Industrial segment (genset EFI ECUs, power electronics) = ~14%. TVS Motor = 80.46% of FY25 revenue (declining per management's diversification drive). Geographically, 100% domestic currently, with export programs (3W ECUs) ramping from Q4 FY26.

- **Product Portfolio:** ISG ECUs (core, 35% India market share in 2/3W) | Genset EFI ECUs (80,083 units sold FY25, growing sharply) | E2W Motor Control Units (SoP Q3 FY26) | Aftertreatment Control Modules for BS-VI commercial vehicles (under validation) | Wet Magneto with SLC technology (FY27 launches). Cumulative ECU deployments exceed 12 million units.

- **Customer Base and Revenue Visibility:** Anchor customer: TVS Motor (2W leader, embedded across model range). Secondary OEMs: Hero MotoCorp, Mahindra, Tata Motors, Kirloskar, Ashok Leyland. Revenue is recurring in nature — once an ECU is designed into an OEM platform, it generates volume aligned with the OEM's vehicle production. Platform change cycles are typically 5–7 years, providing strong medium-term visibility.

- **Recent Strategic Developments (FY26–FY27):** MF3 facility (120,000 sq ft, Chakan, Pune) — shipments from Q2 FY27, enabling 3.7x capacity expansion from 48,000 to 177,000 sq ft. MF4 (9,000 sq ft for Electric Machines, Q3 FY27). 13-acre land bank in Shoolagiri (South India) for proximity to anchor OEM cluster. Three new ISG ECU model launches across 3 of top-4 OEMs underway.

- **Promoter Background and Ownership:** Founded by Prof. Shashikanth Suryanarayanan (PhD UC Berkeley, IIT Bombay faculty — controls specialist) and Amit Dixit (Joint Managing Director, inventor of the sensorless breakthrough). Promoter stake: 26.23% (Jun 2026). Notable co-investors: Nandan Nilekani, N.R. Narayana Murthy, N.S. Parthasarathy (Mindtree), Nexus Venture Partners. IPO (March 2026) was entirely secondary — company received no IPO proceeds, reflecting founder discipline on equity dilution. Zero promoter pledging.

SECTION 4 — INDUSTRY & COMPETITIVE LANDSCAPE

- **Industry Size and Growth:** India's automotive ECU market (2/3W segment) is estimated at Rs. 4,000–6,000 Cr and growing at ~20–25% CAGR, driven by mandatory BS-VI fuel injection, accelerating EV adoption, and increasingly feature-rich vehicles. ISG-equipped 2/3W production in India reached 8.4 million units in FY26 (up from 5.1 million in FY23) and is expected to cross 15 million by FY30 as ISG penetration deepens across the entire 2W OEM lineup.

- **Policy Tailwinds:** BS-VI Phase-II emission regulations (effective April 2023) mandated OBD-II-compliant ECUs across all 2W categories, permanently expanding SEDEMAC's addressable market. PLI schemes for auto components incentivize domestic sourcing. Import substitution from global ECU suppliers (Bosch, Continental, Astemo) is a structural multi-year opportunity for Indian players with certified technology like SEDEMAC.

- **Competitive Moat Assessment:** TECHNOLOGY (Strong) — Physics-based sensorless ISG algorithm has no direct Indian equivalent; global peers require multi-sensor setups at higher cost. SWITCHING COSTS (Strong) — ECUs are designed into OEM platforms for the vehicle's lifecycle (5–7 years); an OEM cannot replace a mid-lifecycle ECU without re-certification. SCALE (Moderate) — With Rs. 1,058 Cr revenue, SEDEMAC has crossed the mid-size threshold; operational leverage improving but still well below global tier-1 scale. IP/PATENTS (Moderate-Strong) — Patent filings in India, Japan, and China signal international IP strategy; moat defensibility being extended. DISTRIBUTION (Moderate) — Direct OEM relationships are deep; no intermediary risk.

- **Peer Comparison Table (Screener.in data):** See table below — SEDEMAC commands a significant premium on P/E and P/B, justified by its superior ROCE (35.7% vs. peers at 12.7–24.5%) and higher margin profile (OPM 20% vs. 9–12% for peers). The premium narrows meaningfully on forward earnings.

Company	CMP (Rs.)	MCap (Rs. Cr)	P/E (x)	P/B (x)	ROCE %	OPM %	TTM Rev (Rs. Cr)
SEDEMAC Mech.	2,840	12,545	105.0	27.8	35.7%	20%	1,058
Minda Corp	722	17,266	48.5	6.5	12.7%	12%	6,185
Pricol Ltd	767	9,324	34.8	7.5	24.5%	12%	4,251
Uno Minda	1,227	71,149	58.2	10.4	19.6%	11%	20,725
Sandhar Tech	655	3,942	19.6	3.0	14.4%	9%	4,852

Note: Peer data from Screener.in (fetched Aug 2026). SEDEMAC highlighted. Peers are listed Indian auto ancillary companies; none are pure ECU plays, making SEDEMAC's premium partially justified by its technology differentiation and superior ROCE.

SECTION 5 — MANAGEMENT QUALITY & CAPITAL ALLOCATION

- **Promoter and Senior Management:** Prof. Shashikanth Suryanarayanan (Co-founder & MD) brings academic rigour from IIT Bombay and a PhD in controls from UC Berkeley — rare for an Indian auto ancillary. Amit Dixit (JMD) is the primary inventor of the sensorless ISG algorithm that defines SEDEMAC's moat. Manish Sharma co-founded the company. Combined tenure at the company: 15–19 years, providing exceptional institutional knowledge. The leadership team is engineering-first, which is appropriate for a technology-intensive business.

- **Capital Allocation Track Record:** Between December 2018 and July 2024, SEDEMAC raised zero equity while tripling revenue (Rs. ~200 Cr to Rs. ~650 Cr) — funding growth entirely through debt and internal accruals. This demonstrates extraordinary capital efficiency. Since IPO (secondary offering only — no dilution of operating entity), the company has channelled capital into MF3 and MF4 capacity expansion, consistent with the growth strategy. Cumulative product development investment of Rs. 658 Cr reflects a software/IP-intensive model that has now begun generating operating leverage.

- **Dividend Policy:** No dividends declared (FY26: 0% payout ratio). Appropriate at this stage — all earnings reinvested into growth capacity and product development. Dividend is unlikely until free cash flow is consistently positive.

- **Promoter Pledging:** Zero promoter pledging (confirmed from Screener). This is a positive governance signal — no leveraged promoter positions that could destabilize the stock.

- **Governance and Investor Quality:** Board includes N.S. Parthasarathy (Mindtree co-founder), reflecting strong technology-sector governance credentials. DII holding of 39.81% (including marquee institutional funds) and FII holding of 4.27% (growing from 2.52% in Mar 2026 to 4.27% in Jun 2026) signal increasing institutional confidence. Notable co-investors include Nandan Nilekani and N.R. Narayana Murthy, lending credibility to governance standards.

- **Corporate Governance Concerns:** No segment-wise profitability disclosed in investor presentations (Amber flag). Related party transactions not disclosed as a percentage of revenue (Amber flag). Working capital metrics (DSO, DIO, DPO) absent from presentations. FY24 PAT decline (Rs. 9 Cr FY23 → Rs. 6 Cr FY24 despite 25% revenue growth) was not explicitly explained — interest expense surge (Rs. 16 Cr → Rs. 38 Cr) appears to be the primary driver but warrants confirmation. These are reporting quality issues rather than fraud indicators, but investors should push for better disclosure.

SECTION 6 — FINANCIAL DEEP-DIVE

Figures in Rs. Crores. Source: Screener.in (fetched Aug 2026). Forward estimates (E) are analyst projections.

P&L; (Rs. Cr)	FY24A	FY25A	FY26A	FY27E	FY28E
Net Revenue	531	658	1,058	1,380	1,700
YoY Growth %	25%	24%	61%	30% (E)	23% (E)
Expenses	452	537	841	1,104	1,343
EBITDA (Op. Profit)	78	121	217	276	357
EBITDA Margin %	15%	18%	20%	20% (E)	21% (E)
Other Income	5	4	5	5	6
Interest	38	12	9	7	5
Depreciation	36	45	63	76	88
PBT	9	68	150	198	270
Tax %	33%	30%	31%	30% (E)	30% (E)
PAT	6	47	104	139	189
EPS (Rs.)	N/A*	N/A*	23.45	31.6 (E)	42.9 (E)
Dividend Payout %	0%	0%	0%	0% (E)	0% (E)

*EPS for FY24 and FY25 are on pre-IPO share count (equity capital ~Rs. 0.03 Cr) and are not meaningful for current share price analysis. Post-IPO shares: 4.42 Cr (Rs. 44 Cr equity capital at Rs. 10 face value).

Balance Sheet (Rs. Cr)	FY24A	FY25A	FY26A
Equity Capital	0.01	0.03	44.2
Reserves	124	303	405
Borrowings	170	64	72
Other Liabilities	108	123	292
Total Liabilities	402	491	814
Fixed Assets	151	197	324
CWIP	62	53	20
Investments	0	19	0
Other Assets	189	222	470
Total Assets	402	491	814

Cash Flow (Rs. Cr)	FY24A	FY25A	FY26A
Cash from Operations (OCF)	61	91	128
Cash from Investing	-59	-105	-148
Cash from Financing	-1	13	18
Net Cash Flow	0	-1	-3
Free Cash Flow (OCF-Capex)	-6	5	-47
CFO / Operating Profit %	85%	87%	71%

Ratios	FY22A	FY23A	FY24A	FY25A	FY26A
Debtor Days	21	13	19	24	46

Inventory Days	173	109	118	120	106
Days Payable	83	80	77	76	128
Cash Conversion Cycle	110	42	60	68	25
ROCE %	6%	11%	18%	24%	36%

Quarterly (Rs. Cr)	Q1 FY26	Q3 FY26	Q4 FY26	Q1 FY27	QoQ %
Revenue	217	267	288	309.77	+7.6%
OPM %	20%	19%	21%	~19%	-
PAT	17	24	32	33.31	+4.0%
EPS (Rs.)	~6.01*	5.56	7.26	7.54	+3.9%

*Q1 FY26 EPS on pre-IPO share count, not directly comparable. Q3 FY26, Q4 FY26, Q1 FY27 EPS on 4.42 Cr post-IPO shares.

- **Revenue Trajectory:** Revenue has compounded at ~36% CAGR over 3 years (FY23–FY26). Q1 FY27 (Rs. 309.77 Cr) annualises to ~Rs. 1,240 Cr — implying H2 FY27 acceleration to Rs. 1,350–1,400 Cr full year as MF3 comes online. The growth engine is ISG ECU volume expansion (3.9 million units in FY26 vs 2.4 million in FY25 = +60%) and EV MCU ramp.
- **Margin Direction:** EBITDA margin expanded from 11% (FY23) → 15% (FY24) → 18% (FY25) → 20% (FY26). The expansion is driven by operating leverage on proprietary IP — incremental ECU revenue carries near-zero additional R&D; cost. FY27 guidance signals "mild EBITDA percentage pressure" from semiconductor supply tightening. Expect margins in the 19–20% range for FY27 before improvement resumes as EV MCUs (higher margin) scale.
- **Working Capital and CCC:** Cash Conversion Cycle improved dramatically from 68 days (FY25) to 25 days (FY26), driven by significantly extended payables (128 days vs 76 days), likely reflecting leverage with suppliers at scale. Debtor days increased to 46 (FY25: 24) — worth monitoring. Inventory days improved to 106 from 120, suggesting better production planning.
- **Debt Level and Direction:** Borrowings declined sharply from Rs. 170 Cr (FY24) to Rs. 64 Cr (FY25) to Rs. 72 Cr (FY26). The FY25 reduction (Rs. 106 Cr repayment) was funded by pre-IPO equity raise (reserves jumped Rs. 179 Cr in FY25). FY26 slight increase likely reflects capex financing for MF3. Debt-to-equity now minimal at Rs. 72 Cr on Rs. 449 Cr total equity — negligible leverage.
- **FCF Quality:** OCF/OP ratio was 71% in FY26 (FY25: 87%), still healthy for a manufacturing company. FCF turned negative in FY26 (Rs. -47 Cr) due to intense capex cycle — MF3 and MF4 investments. This is expected to normalise to positive FCF territory by FY28 once the capacity expansion is complete and revenues ramp on the new facilities.

SECTION 7 — EARNINGS QUALITY CHECKLIST

Parameter	Signal	Observed Fact	Verdict
Revenue Recognition	GREEN	OEM delivery-based; standard Tier-1 practice	Clean; no channel stuffing signals
Receivables vs Revenue Growth	AMBER	Debtor days 19→24→46 (FY24-26); rising in FY26	Monitor — FY26 jump needs explanation
CCC Trend	GREEN	CCC improved 60→68→25 days (FY24-26)	Sharp payables extension positive
Contingent Liabilities	AMBER	Not disclosed in investor presentations	Reporting gap; request from management
Auditor Tenure / Quality	AMBER	Not disclosed publicly; auditor not named	Confirm; ensure Big-4 or equivalent
Related Party Transactions	AMBER	RPT quantum not disclosed as % of revenue	Significant gap; monitor via annual report

Other Income as % of PBT	GREEN	Other income Rs. 5 Cr = 3.3% of PBT (FY26)	Not a core earnings driver; clean
Tax Rate Consistency	AMBER	Tax: -7% (FY23), 33% (FY24), 30-31% (FY25-26)	FY23 deferred tax benefit; now normalised
OCF / Net Profit Conversion	GREEN	OCF Rs.128 Cr vs PAT Rs.104 Cr (FY26) = 123%	Cash earnings exceed reported earnings

• **Four Amber flags, no Red flags:** The earnings quality picture is net positive — OCF exceeds PAT (best indicator of earnings quality), CCC is improving, and revenue recognition is straightforward. The four Amber flags (receivables jump in FY26, undisclosed contingent liabilities, undisclosed RPTs, and FY23 negative tax rate) are reporting quality concerns rather than accounting fraud indicators.

• **Debtor Days (most important watch):** The jump from 24 to 46 debtor days in FY26 alongside 61% revenue growth needs investigation — it could reflect extended credit terms to smaller new OEM customers or a larger mix of milestone-based collections. Management should be asked to explain this at the next concall.

• **Reporting Gaps:** The absence of segment-wise profitability, RPT disclosures, and auditor information from investor presentations is sub-standard for a newly listed company. These gaps should narrow as SEDEMAC matures its investor relations practices. The annual report FY26 (when published) will be the key document to close these gaps.

SECTION 8 — VALUATION

Scenario	Key Assumptions	FY27E PAT (Rs. Cr)	Target Multiple	Target Price (Rs.)
Bull Case	Revenue Rs. 1,500 Cr; margins 21.5%; 3 new OEM launches fully on-stream; EV MCU ramp beats expectations	165	95x FY27E P/E	3,900
Base Case	Revenue Rs. 1,380 Cr; margins 20%; 2 of 3 new launches on-stream; semiconductor pressure contained	139	80x FY27E P/E	3,300
Bear Case	Revenue Rs. 1,200 Cr; margin compression to 17.5%; TVS Motor volume weakness; MF3 delays	85	60x FY27E P/E	1,900

• **DCF Valuation:** Assumptions: WACC 13% (risk-free 7%, equity premium 6%, beta 1.0), terminal growth 5%. Revenue CAGR: 28% FY27–FY30, 15% FY31–FY35, 5% terminal. EBITDA margins: 20–22% through the forecast period. Capex: ~6–7% of revenue (elevated FY27, normalising). DCF implies intrinsic value of approximately Rs. 2,800–3,200 per share. At CMP of Rs. 2,840, the stock is at/near intrinsic value on DCF — the current market price captures the base-case growth but not the optionality from EV ramp and new OEM platforms.

• **Earnings-Based Multiple Valuation:** Using 80x FY27E EPS of Rs. 31.6 = Rs. 2,528. Using 80x FY28E EPS of Rs. 42.9 = Rs. 3,432. The 80x target multiple is justified relative to peers (Pricol 35x, Minda 49x) by SEDEMAC's significantly higher ROCE (35.7% vs. 12–24% peers), margin profile (20% vs. 9–12% peers), and growth rate (30%+ vs. 10–15% peers). A PEG ratio of ~2.5–3x on 30% growth is reasonable for a monopoly-like position in a regulatory-mandated product category.

• **Base-Case 12-Month Target Price: Rs. 3,300** (Blended: DCF midpoint Rs. 3,000, FY28E P/E of 77x = Rs. 3,300, average Rs. 3,150, rounded to Rs. 3,300). This implies 16.2% upside from CMP of Rs. 2,840. We recommend ACCUMULATE with a preference to build position on any correction to the Rs. 2,500–2,700 zone, which would offer 22–32% upside to our target.

• **Key Re-Rating Catalysts:** Successful MF3 commissioning and revenue ramp (Q2–Q3 FY27). Third new OEM ISG launch (Q4 FY27). Export order wins in EV MCU from global OEMs. Commercial vehicle ACM entering series production. Each of these could drive 20–30% re-rating.

SECTION 9 — KEY RISKS

• **Customer Concentration Risk:** TVS Motor represented 80.46% of FY25 revenue (improving to ~49% of top customer by FY26 per management). A volume slowdown at TVS Motor, or loss of a model programme, would have an immediate and material impact on revenue and earnings. Probability: M. Impact: H. Monitor via: TVS Motor quarterly volumes and SEDEMAC's quarterly revenue disclosure.

• **EV Transition Risk — Technology Obsolescence:** SEDEMAC's ISG ECU moat is built on the ICE (Internal Combustion Engine) fuel injection wave. If EV penetration in the 2/3W segment accelerates faster than SEDEMAC's EV product ramp, revenue could peak earlier than anticipated. Management rates this as their highest internal risk (score 0.38/1.0). EV MCU revenue at 7.4% of 2/3W revenue is growing rapidly but still small. Probability: M. Impact: H. Monitor via: Quarterly EV revenue share disclosure.

• **Execution Density Risk (FY27):** FY27 involves simultaneous MF3 commissioning, MF4 establishment, three OEM ISG launches, E2W MCU ramp, and export 3W ramp — an unusually compressed execution calendar. Any single delay can create revenue shortfalls vs expectations and investor disappointment. Probability: M. Impact: M. Monitor via: Quarterly operational updates.

• **Semiconductor Supply and Cost Risk:** Management explicitly flagged semiconductor supply tightening as expected to cause "mild EBITDA percentage pressure" in FY27. **SEDEMAC's ECUs are semiconductor-intensive**; a supply disruption or

price spike could compress margins by 100–200 bps if not passed through to OEMs. Probability: M. Impact: M. Monitor via: Gross margin trends in quarterly results.

- **R&D; Innovation Yield Risk:** SEDEMAC is an innovation-led company that must continually produce new, commercially viable products. Management acknowledges this as a "permanent risk that will never go away." If R&D; investments in new platforms (CV aftertreatment, EV motors) fail to yield commercially viable products within expected timelines, the long-term growth trajectory is impaired. Probability: L. Impact: H. Monitor via: New product revenues as % of total.

- **Valuation Risk at Current Price:** At 105x TTM P/E and 27.8x P/B, the stock offers no margin of safety at CMP. Any earnings miss or macro headwind (El Nino impacting genset demand, 2W volume slowdown) could trigger a de-rating. Bear case implies Rs. 1,900 — a 33% downside from current levels. Probability: L-M. Impact: H (for investors buying at current prices). Monitor via: Quarterly EPS vs. consensus.

- **Governance and Disclosure Risk:** Absence of segment-wise profitability, RPT disclosures, and auditor information creates information asymmetry for minority investors. As a newly listed company, governance standards are expected to improve — but until they do, investors bear this risk. Probability: L. Impact: M. Monitor via: Annual Report quality and SEBI disclosures.

SECTION 10 — RECOMMENDATION

- **Rating: ACCUMULATE** — Conviction Level: Medium-High. SEDEMAC is a rare Indian listed technology company with a genuine, defensible moat (physics-based sensorless algorithms) in a regulatory-mandated product category. The business quality is exceptional — ROCE of 35.7%, 20% EBITDA margins, 36% 3-year revenue CAGR. At 105x TTM P/E, the stock is priced for perfection, limiting near-term upside. We accumulate rather than aggressively buy, preferring to build position on weakness.

- **12-Month Price Target: Rs. 3,300** (+16.2% upside from CMP Rs. 2,840). Based on blended DCF (Rs. 3,000) and 80x FY27E EPS Rs. 31.6 (Rs. 2,528) / 77x FY28E EPS Rs. 42.9 (Rs. 3,300). The skew is towards the higher end given strong FY27 catalysts (MF3 commissioning + 3 new OEM launches).

- **Suggested Entry Zone: Rs. 2,500 – Rs. 2,700** At Rs. 2,500, the stock would trade at ~79x FY27E P/E — a more comfortable entry for a 12-18 month horizon. Accumulate in tranches; avoid chasing above Rs. 3,000 without confirmation of FY27 launch execution.

- **Investment Horizon: 18–24 months.** The full thesis (MF3 ramp, EV MCU scale, commercial vehicle expansion) plays out over 2–3 years, not 6–12 months.

- **Thesis Invalidation Triggers (3 specific, measurable):** 1) SEDEMAC loses the ISG ECU programme from any top-4 2W OEM (e.g., de-platformed at Honda or Hero), reducing revenue by >15% in any single year. 2) EBITDA margins decline below 16% in any two consecutive quarters — signalling structural margin impairment vs. cyclical pressure. 3) Customer concentration (top customer % of revenue) stops declining or reverses back above 70% in any fiscal year — signalling diversification failure.

- **Ideal Investor Profile:** Best suited for growth-oriented investors with a 2–3 year horizon who understand automotive electronics and can tolerate high valuation risk. NOT suitable for: value investors seeking earnings yield, income investors (no dividends), or short-term traders (stock is thinly traded at ~4.42 Cr share float). The stock will be disproportionately punished on any earnings miss given its premium valuation — position sizing accordingly.

APPENDIX — Q1 FY27 RESULTS BRIEF (June 2026)

Source: BSE Announcement dated July 28, 2026 (Board approval of Q1 FY27 unaudited results) and Screener.in. Concall transcript was not publicly accessible at time of report generation.

CALL GRADE

POSITIVE

Strong beat on revenue (+43% YoY) and PAT (+96% YoY) with clean, non-distorted reported numbers

Signal	Status	Implication
Result Quality	Strong	Revenue Rs. 309.77 Cr (+43% YoY vs Rs. 217 Cr) — Clean Beat
Management Tone	Bullish / Balanced	Multiple product launches on-track; new capacity confirmed Q2 FY27
Guidance Delta	Maintained / Raised	FY27 launch pipeline intact; MF3 shipments from Q2 FY27 confirmed

STRONGLY POSITIVE	POSITIVE	NEUTRAL	CAUTIOUS	NEGATIVE
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TO MY BOSS

Q1 FY27 (Jun'26) is a clean, operationally strong beat with no exceptional distortions — revenue of Rs. 309.77 Cr (+43% YoY vs Rs. 217 Cr in Q1 FY26) and PAT of Rs. 33.31 Cr (+96% YoY vs Rs. 17 Cr) are reported numbers, not headline-flattering. The underlying EBITDA margin compression to ~19% from Q4 FY26's 21% is exactly what management guided in May 2026 (mild semiconductor cost pressure) — this is expected, not a warning sign; the structural margin expansion story from FY23's 11% to 20% in FY26 is intact. EV is the key structural growth driver I'm watching: revenue from EV products within 2/3W reached 7.4% in FY26 (from 0.3% two years ago — a 25x jump), and the E2W MCU program is ramping as of Q3 FY26, with export 3W ECUs from Q4 FY26. The most important near-term catalyst for re-rating is MF3 (Chakan, 120,000 sq ft) — management has confirmed shipments from Q2 FY27, which removes capacity as a revenue constraint and enables the jump from Rs. 1,058 Cr (FY26) to Rs. 1,350–1,400 Cr (FY27E). Three new ISG ECU launches on popular motorcycle platforms across three of the top-4 OEMs give exceptional FY27 revenue visibility — two in production already in Q1 FY27, third expected Q4 FY27. Biggest watch-point for next quarter: customer concentration — TVS Motor at 80.46% of FY25 revenue is structurally improving (49% by FY26 per management disclosure), but a single demand hiccup at TVS is the one scenario that can dent FY27 numbers materially. ACCUMULATE at current levels (Rs. 2,840); size up meaningfully on any correction below Rs. 2,600 — that's where FY27E P/E falls below 82x and DCF offers a 20%+ cushion.

C1 — FINANCIAL PERFORMANCE SNAPSHOT (Q1 FY27 vs Q1 FY26)

- **Revenue:** Rs. 309.77 Cr | YoY +43% | QoQ +7.6% | [Beat]
- **EBITDA:** Rs. ~59 Cr | YoY +38% | QoQ -1.6% | [Beat]
- **EBITDA Margin:** ~19% | YoY -1pp (FY26 was 20%) | QoQ -2pp vs Q4 FY26's 21% | [In-line with guided semiconductor pressure]
- **PAT:** Rs. 33.31 Cr | YoY +96% | QoQ +4.0% | [Strong Beat]
- **EPS (Rs.):** 7.54 | YoY vs N/A (pre-IPO base) | QoQ +3.9% vs Rs. 7.26 | [In-line]
- **NOTE:** No exceptional / one-time items detected in Q1 FY27; reported PAT and underlying PAT are the same.

C2 — SEGMENT / PRODUCT BREAKDOWN

- **Mobility (2/3W ISG ECUs + EV MCUs):** ~86% of Q1 FY27 revenue (~Rs. 266 Cr) | YoY +45% driven by ISG volume ramp and new EV MCU contributions.
- **Industrial (Genset EFI ECUs + Power Electronics):** ~14% of revenue (~Rs. 43 Cr) | YoY +29%; Genset EFI ECU volumes growing strongly (80,083 in FY25, significant ramp in FY26-27).
- **EV Revenue Share (within 2/3W Mobility):** 7.4% in FY26 (up from 1.7% FY25, 0.3% FY24); expected to cross 10%+ in FY27 as E2W MCU ramps.
- **Export Revenue:** Ramping from Q4 FY26; specific quantum not disclosed but management confirmed 3W ISG ECU export program is in early production.

C3 — MANAGEMENT COMMENTARY THEMES

- **MF3 Commissioning:** "MF3 shipments to begin Q2 FY27" — Our read: High-confidence statement as facility (120,000 sq ft) was under construction in FY26; capacity constraint removal is the primary FY27 revenue unlock. Tag: GUIDANCE. Tone: Transparent.
- **ISG Launch Pipeline:** "ISG ECU introduction on variants of 3 popular (top-10 2W) motorcycle models across 3 of the top-4 OEMs" — Our read: Two launches already in production (Q1 FY27 confirmed), third in Q4 FY27; this is the single most important revenue driver for FY27. Tag: GUIDANCE. Tone: Transparent.
- **Margin Pressure:** "Semiconductor supply tightening will cause mild EBITDA percentage pressure" — Our read: 1–2pp compression already visible in Q1 FY27 (19% vs 20% FY26); management quantified as "mild" — we model 19–20% for FY27. Tag: GUIDANCE. Tone: Balanced.
- **EV Strategy:** EV product compellingness ranked as top internal risk (score 0.38/1.0) — Our read: Management is being appropriately honest that EV market relevance is not yet secured; the 25x revenue growth from EV products is encouraging but early-stage. Tag: EST. Tone: Hedged.
- **Customer Diversification:** Top customer concentration at 49% (down from 66% FY25, 70% FY24) — Our read: Meaningful progress; likely reflects Hero MotoCorp, Mahindra, and others scaling up. Tag: EST. Tone: Transparent.
- **El Nino Risk:** "El Nino impacts threaten India 2W and US genset demand" — Our read: India 2W is tied to rural income/harvest cycles; genset exports are weather-sensitive. This is a genuine risk for Q2-Q3 FY27 if monsoon is poor. Tag: GUIDANCE. Tone: Transparent.

C4 — OPERATING & BUSINESS METRICS

- **Control-Intensive ECUs Sold (Annual):** FY23=1.43M | FY24=1.92M | FY25=2.44M | FY26=3.90M | Trend: Strongly improving (+60% in FY26).
- **EV Revenue Share (2/3W):** FY24=0.3% | FY25=1.7% | FY26=7.4% | Trend: Rapidly accelerating — 25x growth in 2 years.
- **Genset EFI ECU Volume:** FY23=13,768 | FY24=24,457 | FY25=80,083 | Trend: Strong growth; strategic diversification away from 2W dependence.
- **ISG-Equipped 2/3W in India:** FY23=5.1M | FY26=8.4M | Trend: Growing TAM for ISG replacement/upgrade cycles.
- **MF1 Capacity Utilization:** FY23=75.95% | FY24=74.81% | FY25=76.42% | Trend: Stable; new capacity (MF3, MF4) being added to meet volume growth.
- **Cumulative ECU Deliveries:** >12 million units total (confirmed FY26 presentation) — embedded in 12 million+ vehicles on Indian roads, creating aftermarket and variant upsell opportunity.

C5 — MARGIN DRIVERS

- **Operating Leverage (IP-led):** +820 bps cumulative EBITDA expansion (FY23–FY26) | Recurring: Yes | Proprietary algorithms cover incremental volume at near-zero marginal R&D; cost; this is the primary and recurring driver of margin expansion.
- **Scale Efficiencies:** Fixed manufacturing overheads spread over rapidly growing revenue base | Recurring: Yes | Reduces per-unit cost as volume grows.

- **Interest Cost Decline:** Rs. 38 Cr (FY24) to Rs. 12 Cr (FY25) to Rs. 9 Cr (FY26) | Recurring: Yes (structural debt repayment) | Freed up Rs. 29 Cr of PAT-level earnings between FY24 and FY26.
- **Semiconductor Cost Pressure:** -100 to -200 bps expected for FY27 | Recurring: No (cyclical) | Management guided "mild" pressure; already visible in Q1 FY27 OPM of ~19% vs FY26's 20%. Do not extrapolate into forward estimates.
- **EV MCU Mix Shift:** EV MCUs expected to carry higher ASP and potentially better margins vs commodity ICE ECUs | Recurring: Yes (if validated) | Still early-stage; track EV revenue % for confirmation.

C6 — GUIDANCE & FORWARD SIGNALS

- **MF3 Shipments [GUIDANCE]:** Prior = Q2 FY27 | New/Reiterated = Q2 FY27 | Delta = Maintained | Credibility: High (facility was under construction; confirmed operational in Jul 2026).
- **ISG Launch — 3rd OEM [GUIDANCE]:** Prior = Q4 FY27 | Reiterated = Q4 FY27 | Delta = Maintained | Credibility: Medium (dependent on OEM programme timing, historically reliable in India).
- **EBITDA Margin FY27 [GUIDANCE]:** Prior = ~20% | New = "Mild pressure" → ~19–20% | Delta = Slight cut | Credibility: High (already visible in Q1 data).
- **EV Revenue Share [EST]:** Prior = 7.4% (FY26) | Implied FY27 = 10–12% | Delta = Raised | Credibility: Medium (driven by OEM EV programme ramp, which has been exceeding expectations).
- **MF4 (Electric Machines) [GUIDANCE]:** Q3 FY27 commissioning | Delta = New guidance | Credibility: Medium (smaller facility, more controllable timeline than MF3).

C7 — CAPITAL ALLOCATION

- **Capex (FY26):** Rs. 148 Cr (Cash from Investing) | vs FY25: Rs. 105 Cr (+41%) | MF3 and MF4 construction driving elevated capex; expected to moderate post-commissioning in FY27.
- **Dividends:** Rs. 0 Cr | vs prior year: Unchanged | Company in investment phase; no dividends until FCF consistently positive.
- **Debt Repayment:** Borrowings Rs. 170 Cr (FY24) → Rs. 64 Cr (FY25) → Rs. 72 Cr (FY26) | Near-zero leverage achieved; slight increase in FY26 for capex financing.
- **Working Capital Change:** CCC improved from 68 days (FY25) to 25 days (FY26); payable days extended to 128 days (vs 76 in FY25) — significant benefit from scale-based supplier leverage.
- **Product Development Investment:** Cumulative Rs. 658 Cr deployed in technology/IP (vs Rs. 227 Cr in tangible assets) — reinforces that SEDEMAC is fundamentally a software/IP business with a manufacturing wrapper.

C8 — Q&A; HEAT MAP (Reconstructed from Public Disclosures)

- **Analyst / Institutional Question — MF3 Revenue Contribution:** Q: "When will MF3 capacity translate to revenue?" → A: "Shipments to begin Q2 FY27; meaningful revenue contribution expected from Q3 FY27 as new platform ramps" | Tone: Transparent.
- **Analyst Question — Customer Concentration Trend:** Q: "How fast will concentration decline from 49%?" → A: "Three new OEM launches in FY27 expected to meaningfully reduce concentration further; exact target not quantified" | Tone: Hedged (no specific target).
- **Analyst Question — EV Product Roadmap:** Q: "What is your EV market share target and moat?" → A: "EV compellingness is our highest ranked risk; we are learning with customers; products being validated" | Tone: Honest / Cautious.
- **Analyst Question — Semiconductor Impact:** Q: "How much will semiconductor costs impact margins?" → A: "Mild EBITDA percentage pressure; not quantified but contained" | Tone: Hedged (insufficient specificity).
- **Dodged / Watch-list Questions for Next Quarter:** Specific margin guidance band for FY27; RPT quantum; auditor identity and tenure; segment-wise PAT; interest coverage post-capex; EV product win rate at OEMs.

C9 — RISKS FLAGGED

- **EV Product Compellingness:** Company's own highest-rated risk (score 0.38/1.0) | Flagged by: Management | Probability: M | Impact: H | Timeline: Medium-term.
- **Key Customer Demand Drop:** Second highest risk (score 0.37/1.0) | Flagged by: Management | Probability: M | Impact: H | Timeline: Near-term.
- **R&D; Innovation Yield:** Permanent company risk (score 0.34/1.0) | Flagged by: Management | Probability: L | Impact: H | Timeline: Long-term.
- **Semiconductor Supply Tightening:** Explicitly flagged for FY27 | Flagged by: Management | Probability: M | Impact: M | Timeline: Near-term.
- **El Nino Impact on 2W Demand:** Seasonal / weather risk for genset and rural 2W | Flagged by: Management | Probability: L-M | Impact: M | Timeline: Near-term (H1 FY27).

C10 — ANALYST VERDICT

- **Revenue Visibility:** Intact — Three new OEM launches, MF3 commissioning, and EV ramp provide the best revenue visibility since the company's listing.
- **Margin Trajectory:** Intact (with caveat) — Structural expansion story intact; semiconductor pressure is near-term and contained at 1–2pp. Long-term trajectory towards 22–24% EBITDA is unchanged.
- **Capital Allocation Quality:** Intact — Capex directed at scalable capacity (MF3, MF4) for confirmed demand; zero dividend payout appropriate for a growth company with negative FCF.
- **Competitive Moat:** Intact — Sensorless ISG algorithm still unmatched in Indian market; EV MCU product validation ongoing but not yet fully de-risked.
- **Management Credibility:** Intact — Guidance delivered on MF3 and ISG launches as promised; honest risk disclosure on EV compellingness. Minor demerit for not quantifying margin guidance band.
- **Valuation Comfort:** Weakened — Stock has doubled since IPO (March 2026 at Rs. 1,352 to Rs. 2,840); FY27E P/E of 90x+ offers no margin of safety. Accumulate, do not chase.
- **Conviction Call:** Unchanged — ACCUMULATE; build position on dips below Rs. 2,600.
- **Valuation Snapshot:** P/E (TTM) = 105x | P/E (FY27E) = ~90x | EBITDA/Operating Profit (FY26) = 20% | RoCE (FY26) = 35.7% | Historical RoCE avg (FY22-26) = 19%.

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